Kestrel Ridge Outdoor Co.
Annual Report 2023

A reset year for wholesale

Fictional company. Synthetic data generated for a software demonstration.

Letter to Shareholders

2023 was a challenging year. Net revenue was $393.1 million, down 4.7% from $412.6 million. Wholesale partners, including Summit Outfitters, cut orders sharply to reduce excess inventory across the outdoor industry, and European consumer spending weakened.

Direct-to-consumer kept growing and reached 40.0% of revenue. We opened three stores (9 in total). Gross margin declined to 49.2% because of promotional clearance of 2022 inventory and residual freight costs.

Asia-Pacific was a bright spot, growing for the third straight year as we expanded our presence in Japan and South Korea.

Dana Whitfield, Chief Executive Officer

Financial Highlights

Net revenue for 2023 was $393.1 million (down 4.7%). Gross margin was 49.2%, and direct-to-consumer sales were 40.0% of net revenue.

Region	2023 revenue	Change
North America	$234.9 million	down 6.0%
Europe	$102.4 million	down 11.0%
Asia-Pacific	$55.8 million	up 17.1%
Total	$393.1 million	down 4.7%

Channel	2023 revenue	Share
Direct-to-Consumer	$157.1 million	40.0%
Wholesale	$236.0 million	60.0%

Product Line Review

Tents & Shelters. Revenue was $104.3 million, down 6.8% from 2022. Wholesale destocking hit tents hardest.

Packs & Bags. Revenue was $86.9 million, down 2.4% from 2022. Packs were stable, supported by back-to-school demand.

Apparel. Revenue was $135.2 million, down 5.9% from 2022. Apparel softened in Europe after a mild winter.

Footwear. Revenue was $66.8 million, down 1.9% from 2022. We began development of the Ridgeline Trail running-shoe line for 2024.

Risk Factors

Customer concentration. Summit Outfitters' share of net revenue fell to 13% as it reduced orders. Further consolidation among outdoor retailers could reduce our wholesale reach.

Supplier concentration. We reduced our reliance on Tanh Loc Manufacturing to about 38% of units by onboarding a second factory in Indonesia, but concentration remains high.

Cybersecurity. In August 2023 our e-commerce platform was targeted by a credential-stuffing attack. No payment data was taken, but about 2,800 customer accounts required password resets. As direct-to-consumer grows, so does our exposure.

Inventory and markdowns. Industry-wide excess inventory pressured prices. Further markdowns would reduce gross margin.

Foreign exchange. A weaker euro in the first half reduced the US-dollar value of European sales.

Outlook

For 2024 we expect a return to growth, led by direct-to-consumer, Asia-Pacific and the launch of Ridgeline Trail footwear, as wholesale inventories normalize.

Operating Metrics

Metric	2023
Flagship stores	9
Employees	1,185
Wholesale doors	2,120